

Q1 2025

Custom Managed Portfolios

Guardian Canadian Balanced (RI)

Quick facts

Asset class:

Balanced

Management style:

GARP¹

Number of holdings:

55

Sub-advisor:

Guardian Capital

Portfolio manager:

Aviso Wealth

Minimum investment:

\$150,000

Inception Date:

July 01, 1996



What does the strategy invest in?

This strategy invests in bonds with an average credit rating of "A" or higher and a duration which fluctuates within a narrow range. It attempts to add value by purchasing bonds that are mis-priced relative to their credit fundamentals and by anticipating changes in the direction of interest rates. It's equity mandate is based on an equity blend style, GARP (growth at a reasonable price), which emphasizes companies with highly visible, above average growth prospects that are not yet reflected in the price of a company's stock.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	2.0%	2.0%	13.6%	8.2%	11.4%	6.6%	7.7%
Benchmark ⁵	1.7%	1.7%	12.5%	5.8%	10.4%	6.0%	7.4%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	16.9%	12.3%	-7.3%	13.4%	7.1%	13.2%	-2.8%
Benchmark ⁵	14.4%	9.7%	-7.8%	13.5%	7.9%	16.3%	-4.7%

Standard deviation	5.3%	Sortino ratio	1.61	Downside capture	72.3%
Sharpe ratio	1.15	Beta (Equity)	0.81	Upside capture	88.7%

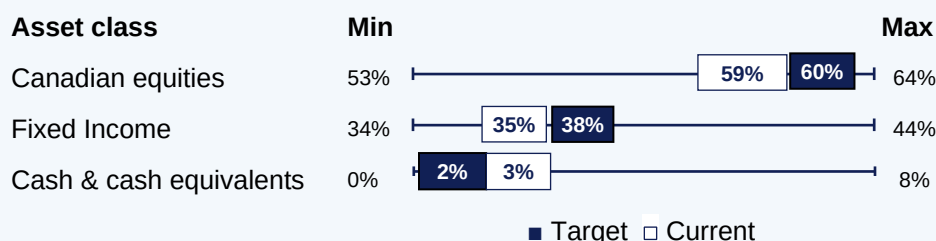
Largest holdings

1. AGNICO EAGLE MINES LTD	4.3%	6. BROOKFIELD CORP VTG CL A	3.2%
2. BC PROV 4.15% 18JUN2034	4.3%	7. BC PROV 5.4% 18JUN35	3.0%
3. ROYAL BANK OF CDA	4.0%	8. SUNCOR ENERGY INC NEW	2.9%
4. CIBC	3.5%	9. LOBLAW COS LTD	2.8%
5. CDA HSG 3.55% 15SEP2032	3.4%	10. CDA HSG TR NO.1 1.75% 15JN30	2.8%

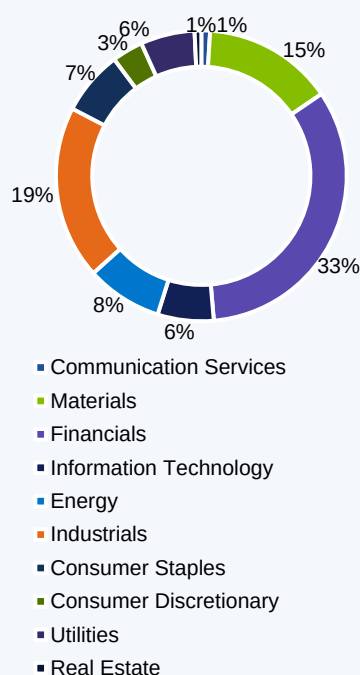
Portfolio attributes

Dividend yield	Portfolio Yield	Bond YTM	Average Credit Rating	Average Duration	Average market cap	Portfolio turnover
2.2%	2.7%	3.6%	AA-	6.62	53.32B	45.7%

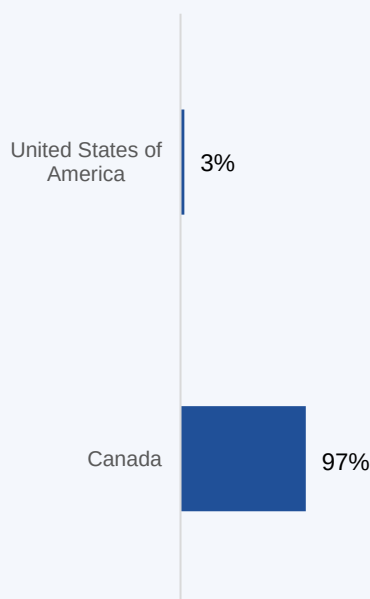
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

The S&P/TSX composite index returned 1.51% in the first quarter of 2025, buoyed by strong performance in the Materials (+20.33%), Utilities (+4.89%), Energy (+2.66%), and Communication Services (+2.18%) sectors. The Health Care (-8.98%), Consumer Staples (-0.49%), Information Technology (-7.46%), Real Estate (-1.62%), Industrials (-1.97%), Financials (-1.25%) and Consumer Discretionary (-0.17%) sectors all lagged the broader market.

Market sentiment was varied over the quarter as the uncertainty in U.S. trade policy led to increased volatility in the stock market, causing concerns among investors. The Canadian economy entered 2025 in a good position as growth was projected to increase, led by household spending, investment and exports. Employment numbers exceeded expectations as the unemployment rate fell to 6.6% in January and remained flat through February. Inflation increased in both January and February, reaching a high of 2.6%. The Bank of Canada (BOC) cut its policy interest rate by 25 basis points twice this quarter, going from 3.25% at the start of the quarter to 2.75%.

While economic growth had been projected to increase going into 2025, the looming tariff threats has led to consumer and business confidence sinking to lows not seen since the outbreak of the COVID-19 pandemic. Despite initial optimism from markets following the election of Donald Trump, the Administration's trade policy has caused economic activity projections to decrease and poor stock market performance (the S&P 500 Index and Nasdaq Composite declined by over 4% and 10% respectively). The US Federal Reserve left its interest rates unchanged this quarter at a range of 4.25-4.50%. The heightened geopolitical uncertainty also struck commodity markets which similarly saw increased price volatility in the first quarter of 2025. WTI oil prices hit a high of \$80.04 per barrel in January and a low of \$66.03 per barrel in March. Metals had varied results in the first quarter with Copper, Gold, Steel, and Silver increasing over the quarter while Aluminum, Iron Ore, and Zinc experienced high price volatility.

The bond market rallied as yields declined during the first quarter of 2025, driven by the short end of the yield curve as the Bank of Canada (BoC) lowered its policy rate by 0.50% from 3.25% to 2.75% in an effort to mitigate the impact of U.S. tariffs on domestic growth. The macroeconomic backdrop surprised to the upside, driven by the higher-than-expected CPI print for February as a result of the end to the GST/HST sales tax holiday, with restaurant prices contributing the most to the acceleration.

The U.S. also saw bond yields move markedly lower over the quarter as the prospects of a prolonged trade war and dramatic cuts to government spending weighed on U.S. growth. The Atlanta Fed is forecasting first quarter real GDP growth of -3.67% (annualized). The Federal Reserve (Fed) held its policy rate at 4.50% citing preferred measures of inflation not yet within the bank's target range.

The European Central Bank reduced its policy rate by 25 basis points in both January and March meetings. The Bank of England implemented a 25 basis points cut, whereas the Bank of Japan raised its rate by 25 basis points. The net result was positive for bonds, with the Universe (FTSE Canda Universe Bond Index) returning +2.02% in the first quarter. Mid-term bonds (FTSE Canada Mid Term Overall Bond Index +2.65%) outperformed both the short-end (FTSE Canada Short Term Overall Bond Index +1.69%) and the long-end (FTSE

Canada Long Term Overall Bond Index +1.79%). Government bonds (FTSE Canada All Government Bond Index +2.09%) outperformed corporate bonds (FTSE Canada All Corporate Bond Index +1.81%) as credit spreads on investment grade corporate bonds widened over the quarter from their cycle lows. The longer duration non-cyclical segments of the corporate index (i.e., Communication and Infrastructure) outperformed the shorter duration cyclical segments of the index (i.e., Financial, Industrial).

The USD/CAD pair marginally strengthened from 1.4384 to 1.4387 as long-term interest rate differentials between the U.S. and Canada narrowed, while the spread between West Texas Intermediate and West Canada Select also narrowed over the quarter.

The volatility of the geopolitical environment following the electoral victory of Donald Trump is the main source of uncertainty in the portfolio's outlook. Markets have reacted strongly to Trump's tariff policies and economic sentiments have reached record lows. Additionally, both the Bank of Canada and Federal Reserve have signaled that future rate cuts could be slowed or halted as inflation begins to rise. The effects of these macroeconomic factors could remain uncertain in the near to medium term. However, we expect higher-quality companies to overcome these headwinds and continue to provide attractive valuations.

From equity perspective, the portfolio maintains a strong quality bias and remains diversified across cyclical and defensive companies. Economic headwinds are expected to affect all portfolio holdings to various degrees; however, we believe that if labour markets continue to normalize and trade policy stabilizes, multiple companies in the portfolio should benefit, irrespective of the economic outlook. With near-term inflation expectations rising due to tariffs, the extent of the potential impact to demand (weakening) remains uncertain. As a result, the policy path of rates is unclear as the BoC balances the risks of potentially lower economic growth and higher inflation. Market pricing for overnight indexed swaps (OIS – a proxy for the expected policy interest rate) suggests that the BoC will provide additional cushion by lowering rates at least once by an additional 0.25% before the end of June.

The portfolio is of higher credit quality fixed income with no exposure to BBB-rated bonds that provide a similar yield carry relative to the benchmark. The Manager continues to actively seek attractive opportunities to enhance portfolio structure and relative total returns.



GUARDIAN CAPITAL LP

Investment manager overview

Guardian was formed in 1962 and is one of Canada's longest-established, independent investment counselling firms. Over its 50-year history, Guardian has offered its investment management expertise in balanced fund management, equity management and fixed-income management to pension fund clients, institutions, operating and endowment funds, charitable organizations, mutual funds and high net worth individuals. Guardian Capital Inc. is wholly-owned by Guardian Capital Group Limited. The parent company's common and non-voting Class A shares are listed on the Toronto Stock Exchange.

Investment philosophy

Guardian's investment philosophy is to achieve a prudent balance between risk tolerance and return enhancement. This balance is key to successful longer-term performance. Guardian also believes that longer term success will be achieved through fundamental research, superior security selection and implementation of a disciplined approach. They utilize both a "bottom-up" and "top-down" approach for portfolio construction with primary emphasis on a "bottom-up" process.

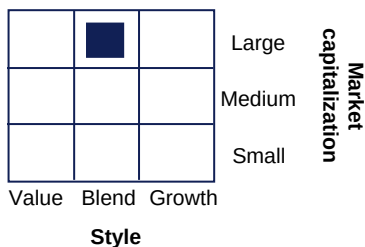
Investment process and risk controls

The Canadian Balanced mandate is designed as a well-diversified mandate by sector/industry and security selection with a "growth-at-a-reasonable-price" style. Guardian seeks out companies which have the potential to grow sales (top-down) and earnings (bottom-up) faster than the economy, faster than their peer group and faster than the market as a whole. They focus on companies which will provide a fairly stable and predictable earnings path in the future. Within the bond component they attempt to add value by purchasing bonds that are mis-priced relative to their credit fundamentals and by anticipating changes in the direction of interest rates.

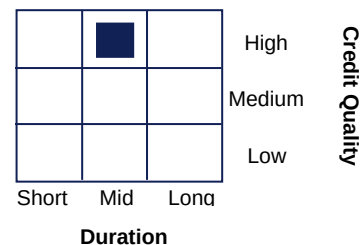
The overall emphasis combines a bottom-up view (approximately 80%) with a top-down view (approximately 20%). Individual equity security selection is based on in-depth knowledge of each company through a proprietary screening process (which includes an SRI screening). The top-down approach includes a thematic (i.e., demographics, technology, globalization, etc.) outlook for the economic, social and political trends which might affect the market as a whole and the underlying sectors, industries and securities within the market.

Risk management is an integral part of the decision-making process. They seek out companies which have strong balance sheets, superior management teams and a catalyst which is expected to have a positive impact on price performance over time.

Equity style²



Fixed Income style³



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ GARP (Growth at a reasonable price)

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is 60% S&P/TSX Composite TR Index; 40% FTSE Canada Universe Bond Index

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